Best Chart Patterns to Trade

The best chart patterns are usually the simplest ones with clear entry, stop-loss, and target levels: **bull flags, ascending triangles, double bottoms, inverse head-and-shoulders, and cup-and-handle** for buying; their bearish counterparts for selling or avoiding longs. There is no universally “best” pattern—use the one that fits the prevailing trend and your tested rules.

Best Patterns for Buying

Pattern	What it looks like	Entry rule	Stop-loss idea
Bull flag	Strong upward move, then a small downward or sideways pullback	Buy when price closes above the flag’s upper boundary	Below the flag’s low
Ascending triangle	Flat resistance with rising lows	Buy on a confirmed close above resistance, ideally with higher volume	Below the most recent higher low
Double bottom	Two similar lows separated by a higher peak	Buy after price breaks above the middle peak (the neckline)	Below the second bottom
Inverse head and shoulders	Three troughs, with the middle trough lowest	Buy after a confirmed break above the neckline	Below the right shoulder
Cup and handle	Rounded base, then a small pullback (the handle)	Buy when price breaks above the handle’s resistance	Below the handle low

These are generally easier for beginners because they provide a defined breakout level and a logical place for a stop-loss.

Best Patterns for Selling

Pattern	What it looks like	Signal	Action
Double top	Two similar highs separated by a pullback	Break below the middle low	Exit longs or avoid new buys
Head and shoulders	Three peaks, with the middle peak highest	Break below the neckline	Exit longs; shorting is advanced and riskier
Descending triangle	Flat support with falling highs	Break below support	Avoid longs or reduce exposure
Bear flag	Sharp decline, then a small upward pullback	Break below the flag’s lower boundary	Avoid longs or exit
Falling wedge	Converging downward-sloping boundaries	Can precede a bullish reversal, but wait for confirmation	Do not buy before a breakout

A **head-and-shoulders** pattern is one of the most widely recognized bearish reversal setups, while a **double top** warns that buyers failed to push price through the same resistance twice.

Best Patterns to Start With

For a beginner, focus on only three patterns:

- **Bull flag** — best for continuation trades in an uptrend.
- **Ascending triangle** — best for a defined breakout entry.
- **Double bottom** — best for spotting a potential reversal after a decline.

Mastering these is better than trying to recognize every pattern. A pattern is only actionable after it completes; for example, a double bottom is not confirmed until price breaks above the peak between the two lows.

Confirmation Checklist

Before entering, require at least most of these conditions:

- The higher-timeframe trend supports the trade.
- Price breaks the pattern’s key level with a candle close, not merely a brief wick.
- Volume expands on the breakout.
- The entry has a nearby, logical stop-loss.
- The potential reward is at least about twice the amount risked.
- You are not entering after an overextended move.

Patterns work best alongside support and resistance, volume, trend direction, and strict risk management; false breakouts can still occur.

Practical Example

Suppose a stock rises from $40 to $50, pulls back gently to $47, then breaks above $48.50 on above-average volume. That resembles a bull flag. A trader might buy near $48.60, place a stop below $46.90, and target the prior high or a measured move—while accepting that the setup can fail and the stop may be hit.

Trading Tips

- **Trade with the trend:** favor long entries in uptrends and avoid buying simply because a stock has fallen sharply.
- **Wait for confirmation:** do not enter before the breakout or reversal is confirmed.
- **Use a stop-loss:** decide the exit price before buying and respect it.
- **Size positions from risk:** risk only a small, predefined percentage of trading capital per trade.
- **Take partial profits:** sell part of a winner at the first target and let the remainder run with a trailing stop.
- **Keep a journal:** record entries, exits, reasons, results, and lessons.
- **Avoid overtrading:** take only setups that meet your rules.
- **Do not use money you need:** never trade emergency savings or money required for living expenses.